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THE FIRST HOME BUYER PLAYBOOK

India 2026-27 Edition

From affordability check to registration day -
every step, every cost, every trap decoded.

- The honest affordability math banks won't do for you
- Live September 2026 rates: SBI, HDFC Bank, ICICI + repo at 5.25%
- PMAY-U 2.0 subsidy rules, verified from official guidelines
- RERA, title, OC & encumbrance checks before you pay a token
- Old vs new tax regime - what a home loan actually saves you now

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READ THIS FIRST

Your home, without the costly surprises

Buying your first home is the biggest financial decision most Indian families ever make. The sticker price is never the real price. The bank's sanction is never the full story. And the difference between a well-prepared buyer and an unprepared one is routinely 5 to 10 lakh rupees over the life of the purchase - paid out as higher interest, avoidable charges, weak negotiation and skipped legal checks.

This playbook walks the exact sequence a first-time buyer in India faces in late 2026 and 2027: working out what you can truly afford, tuning your credit score, comparing lenders on real numbers, reading a sanction letter, claiming the PMAY-U 2.0 subsidy if you qualify, verifying a property before paying a token, negotiating the agreement, surviving registration day, and running the loan smartly for the next twenty years.

Every rupee figure, interest rate, tax rule and scheme detail in this book was verified from official sources in September 2026 - the RBI, SBI, HDFC Bank, ICICI Bank, the PMAY-U 2.0 guidelines and the Income-tax Act. The full source list is on the last page. Where something varies by state or lender, the book says so plainly and tells you exactly where to verify it.

How to use this book

Read Parts 1-5 before you visit a single property or talk to a single builder - they set your budget, your loan and your paperwork. Keep Parts 6-8 open on your phone during the property hunt and at the registration office. The checklists near the end are designed to be printed and ticked off line by line.

One honest note: this book is education, not advice. Interest rates, government schemes and tax rules change; always confirm the current numbers with the lender or authority before you commit money. Large decisions deserve a second opinion from a qualified professional.

THE ROAD MAP

The ten steps, in the right order

Most first-time buyers start at step 6 (browsing listings) and work backwards in panic. Follow the order below and you will not overpay, overborrow or get stuck.

1	Fix the honest budget EMI within 40-45% of take-home; count every rupee of upfront cash, not just the down payment.
2	Pull your credit reports Free full reports from all four bureaus; fix errors and old dues at least 3 months before applying.
3	Get pre-approved by 2-3 lenders Know your ceiling and negotiate as a ready buyer. Never rely on one bank's word.
4	Shortlist properties in budget Only now browse - and verify RERA, title and approvals before any token money.
5	Run full due diligence Title chain, encumbrance certificate, sanctioned plan, OC/CC, carpet area measurement.
6	Negotiate and sign the agreement to sell Token against written receipts, payment schedule linked to milestones, not promises.
7	Final loan sanction and disbursement Sanction letter checked clause by clause; disbursement direct to seller/builder.
8	Pay stamp duty and register Budget 6-8% of the value; women buyers may pay less in many states.
9	Take possession properly Mutation, society transfer, khata/patta, utilities in your name, original documents safe.
10	Run the loan smartly Prepay early and often, review your rate yearly, close cleanly and take your NOC.

The one-sentence version

Fix your real budget first, get the loan machinery moving in parallel, and never pay a rupee of token money before the paper trail - RERA, title, encumbrance, plan - is clean.

PART 1

The Honest Affordability Math

What you can actually spend - not what the bank says you can

Start with the EMI, not the property

Lenders in India will typically sanction a loan as long as your total EMIs stay under roughly 50-55% of your gross monthly income - bankers call this FOIR (Fixed Obligation to Income Ratio). That is the bank's comfort, not yours. The bank does not pay your school fees, your rent during the wait, or your medical emergencies.

A far safer personal rule: keep the home loan EMI at or below **40-45% of your take-home pay** after all deductions, and assume your interest rate can rise by 1 percentage point over the next few years. If the EMI still fits at rate + 1%, you can afford it.

What the bank will actually fund: LTV limits

RBI rules cap how much of a property's value a bank can lend. The rest - plus every purchase cost - comes from your pocket:

Loan amount	Maximum bank funding (LTV)	You must bring
Up to ₹30 lakh	90% of property value	10% or more of the value
₹30 lakh - ₹75 lakh	80% of property value	20% or more of the value
Above ₹75 lakh	75% of property value	25% or more of the value

Two details bite first-time buyers. First, the bank's valuer may assess the property below the price you negotiated - the loan is a percentage of the lower assessed value, so your cash contribution grows. Second, stamp duty, registration and brokerage are never financed by the home loan; they are always 100% cash, upfront.

The real cash you need on day one

Here is a full, worked example of the cash needed to buy a **₹50 lakh ready flat** with a ₹40 lakh loan (80% LTV). This is the table most first-time buyers see only after it is too late:

Upfront cost	How it is calculated	Amount
Down payment (20%)	Price minus loan	₹1,000,000
Stamp duty	6% of value (Maharashtra metro example)	₹300,000
Registration fee	1% of value (capped ₹30,000 in Maharashtra)	₹50,000
Brokerage	1% (if a broker is involved)	₹50,000

Upfront cost	How it is calculated	Amount
Loan processing fee	~0.4% of loan (varies 0.25-0.5%)	₹16,000
Legal, valuation & documentation	Advocate + bank's legal/technical charges	₹25,000
Society, move-in & utilities deposit	Society charges, electricity/water transfer, shifting	₹40,000
Total cash needed	≈ 29% of the flat's price - before a single EMI	₹1,481,000

The planning number to remember

Keep ready in cash and safe investments: **28-32% of the property price** (down payment + stamp duty + registration + costs + a small buffer). If you have less, you are not ready yet - and that is useful information before you fall in love with a flat.

Rent vs buy - the honest quick test

A home is partly an emotional purchase and that is fine. But run this sanity check: add your expected EMI plus the monthly value of the upfront cash you will lock in, and compare it with rent for a similar home in the same area. If owning costs more than 2.5-3 times rent, you are paying a steep premium for ownership - fine if you plan to stay 10+ years, expensive if you might move in three. Renting while you build the down payment is not failure; it is sequencing.

PART 2

Your Credit Score and the 6-Month Tune-Up

The cheapest loan you will ever get is priced on your CIBIL report

Where you stand: score bands

Home loan rates in 2026 are risk-priced: the same bank charges different customers different rates based mainly on their bureau score. The practical bands:

Score band	What lenders typically do
750 and above	Best advertised rates; smooth approvals
700 - 749	Approved, but often 0.25-0.50% higher rate - lakhs over 20 years
650 - 699	Patchy: smaller lenders, higher rates, stricter income scrutiny
Below 650	Expect rejection at large banks; fix the report first

The free reports you are entitled to

RBI rules entitle every individual to one **free full credit report, including score, every calendar year from each of the four bureaus** - TransUnion CIBIL, Equifax, Experian and CRIF High Mark - with the link displayed prominently on each bureau's homepage. Four bureaus means four free looks at your credit history each year. Pull all of them before you apply; banks see all of them. Errors are common and disputes are free (bureaus must typically resolve them within about 30 days).

The six-month tune-up plan

- Month 1: Pull all four free reports. List every open loan, card and overdue item. Raise disputes for anything that is not yours or shows wrong status.
- Clear every overdue and settle every small default - a settled account still dents your score, but an open default kills it.
- Keep credit card utilisation under 30% of the limit in the months before applying (low utilisation reads as discipline).
- Do not apply for new credit cards, personal loans or buy-now-pay-later in the 6 months before the home loan - every application leaves an enquiry mark on your report.
- Keep old, well-run cards and loans open; a long clean history is an asset.
- If you have never borrowed, build history now: one credit card, small usage, full on-time payment, for six months.

What the bank checks beyond the score

A strong score is necessary, not sufficient. The lender's underwriter also looks at your FOIR (existing EMI's including the proposed one against income), employment stability (2+ years helps salaried applicants; 3+ years in business for self-employed), bank statement behaviour (cheque bounces and heavy cash withdrawals raise flags), and the property itself - a weak title can sink the strongest salary slip.

Self-employed? Start earlier

Your file runs on ITRs, GST returns and CA-certified financials. Two to three years of clean, filed returns with believable income is the entry ticket - plan a full year ahead rather than a quarter.

PART 3

Choosing the Loan on Real Numbers

Floating vs fixed, repo linkage, and what September 2026 actually costs

The rate environment right now

The RBI's Monetary Policy Committee cut the repo rate to **5.25% in December 2025** and has held it there through its 2026 reviews (September 2026 data confirms 5.25%). New retail home loans are floating-rate loans linked to this repo rate, which is why home loan pricing in 2026 is among the friendliest Indian buyers have seen in years.

Lender	Advertised starting rate (verified Sept 2026)	Notes
SBI	7.25% p.a. onwards (w.e.f. 01.04.2026)	Largest mortgage lender; rate varies by score, slabs, salaried/self-employed
HDFC Bank	7.75% p.a. onwards	Repo + 2.50% to 7.95%; processing fee up to 0.50%
ICICI Bank	8.50% p.a. standard (special ~7.55% for eligible pre-approved)	Standard slabs 8.50-9.40%+ by profile; fixed-rate options 9-11%
Typical public banks	~7.3-8.6% floating	Bank of Baroda, Punjab National Bank and peers run similar repo-linked cards

Treat these as the door, not the room: your actual rate depends on loan size, bureau score, income profile and negotiation. Two borrowers at the same bank on the same day can be a full percentage point apart. Always demand the rate card logic for your profile - in writing, with the spread over repo spelled out.

Floating vs fixed - and the hybrid trap

Almost every floating home loan today is repo-linked: your rate = repo rate (5.25%) + the bank's spread (e.g. 2.00-2.45%). When the RBI moves, your rate follows within the reset period - RBI rules require at least a 3-month reset frequency on such loans, so relief or pain arrives with a small lag. Fixed-rate loans look like insurance but are priced 1.5-3% above floating in 2026, and many are only fixed for a few years before converting. The honest position: take floating, and stress-test your budget at +1%.

EMI reality check: what ₹10 lakh costs per month

The EMI on every ₹10 lakh you borrow, at representative 2026 rates:

Rate \ Tenure	15 years	20 years	25 years	30 years
7.5%	₹9,270.12	₹8,055.93	₹7,389.91	₹6,992.15
8.0%	₹9,556.52	₹8,364.40	₹7,718.16	₹7,337.65

Rate \ Tenure	15 years	20 years	25 years	30 years
8.5%	₹9,847.40	₹8,678.23	₹8,052.27	₹7,689.13
9.0%	₹10,142.67	₹8,997.26	₹8,391.96	₹8,046.23

So a ₹40 lakh loan at 8.5% for 20 years means an EMI of about **₹34,712.93** and total payments of about **₹8,331,103** - roughly **₹4,331,103** of interest on top of the ₹40 lakh you borrowed. Seeing that number before you sign is the point of this page.

The 0.25% that becomes a lakh

On a ₹50 lakh, 20-year loan, the difference between 8.25% and 8.50% is **₹189,091** of extra interest - the price of not negotiating for one quarter of a percentage point. Every rate point you shave is found money, which is why Parts 2 and 4 exist.

Tenure: long and lazy vs short and sharp

Tenure on ₹40 lakh @ 8.5%	EMI	Total you pay	Total interest
15 years	₹39,389.58	₹7,090,125	₹3,090,125
20 years	₹34,712.93	₹8,331,103	₹4,331,103
25 years	₹32,209.08	₹9,662,725	₹5,662,725
30 years	₹30,756.54	₹11,072,354	₹7,072,354

Lenders love pitching 30-year tenures because the EMI looks gentle. Take the longest tenure you are offered for safety, but **pay like it is a 15-year loan** - prepay aggressively in the early years (Part 10 shows the maths) and you keep the flexibility without buying the interest bill.

Compare the full cost, not the headline rate

- **Processing fee:** typically 0.25-0.5% of the loan (ICICI, for example, charges 0.5% + taxes; SBI runs cheaper slabs) - often negotiable or waived during festive offers.
- **Legal and technical charges:** the bank's advocate and valuer costs, usually a few thousand rupees, sometimes passed to you.
- **MODT / mortgage registration:** a state charge for registering the mortgage deed - in the thousands, varies by state.
- **Insurance nudges:** credit-life or property insurance is optional by and large - decline politely unless you independently want it; it is frequently a commission product.
- **Reset and conversion fees:** some lenders charge a fee (often ~0.5% of the outstanding) to move you to a lower spread later - ask before you sign, not after.

PART 4

Pre-Approval and the Sanction Letter

Become the buyer sellers take seriously - and read what you sign

Get sanctioned before you shop

An in-principle (pre-approved) sanction is a bank's written estimate of what it will lend you, based on your income and credit. It typically takes 2-5 working days, is often free or cheap, and stays valid for roughly 60-90 days. Two reasons to get it from **two or three lenders**: you discover your true ceiling before you shortlist properties, and a seller who sees a sanction letter negotiates with a ready buyer, not a hopeful one.

Pre-approval is not a guarantee

The final loan always depends on the property: its title, approvals and the bank valuer's assessment. Pre-approval de-risks you; it does not de-risk the flat.

Read the sanction letter clause by clause

- ☐ **Sanctioned amount and the rate:** is the rate on the letter the same one quoted to you? Floating loans must state the benchmark (repo) and your exact spread.
- ☐ **Tenure, EMI start date and first disbursement conditions.**
- ☐ **Validity period:** usually 60-90 days; registrations delayed beyond it need re-sanction.
- ☐ **Special conditions:** many sanctions carry riders like additional security, a co-applicant, or cleared credit-report remarks - resolve these before registration day, not at the bank counter.
- ☐ **Property-level conditions:** typically a clear title report, an approved plan and the bank's valuation are all required before the final disbursement.
- ☐ **Fees charged:** processing, legal, technical, CERSAI and documentation charges must match what you were quoted.

The realistic timeline

Stage	Typical time
Pre-approval (in-principle sanction)	2-5 working days
Full sanction after property papers go in	10-20 working days for clean files
Legal and technical verification of the property	1-2 weeks
Disbursement after registration	1-3 days for ready homes
Complex files (self-employed, resale, disputed paperwork)	3-6 weeks or longer

A clean salaried file with a lender-approved project can move from application to first disbursement in two to three weeks. Budget six weeks in your plan; anything faster is a bonus, and anything slower is usually a paperwork gap you can pre-empt.

PART 5

The PMAY-U 2.0 Interest Subsidy

Up to ₹1.80 lakh from the government - if you fit the box exactly

PMAY-U 2.0 ('Housing for All' from 1 September 2024) includes an Interest Subsidy Scheme (ISS) for first-time-style affordable purchases. The rules are strict, and every number below is from the official scheme guidelines and the PMAY portal as they stand in September 2026:

ISS rule	The number
Household annual income ceiling (EWS/LIG/MIG)	Up to ₹3 lakh / ₹6 lakh / ₹9 lakh
Maximum loan eligible	₹25 lakh
Maximum house value	₹35 lakh
Maximum carpet area	120 sq. m.
Subsidy rate	4.0% per annum on the first ₹8 lakh of the loan, for tenures up to 12 years
Maximum subsidy	₹1.80 lakh actual release (NPV cap ₹1.50 lakh)
Disbursement pattern	Credited upfront against your principal, released by the government in 5 yearly instalments (loan must stay active with over 50% principal outstanding)
Loan sanction date	On or after 01.09.2024

Practical reading: the scheme genuinely helps households earning under ₹9 lakh a year buying homes under ₹35 lakh. If a flat you are eyeing is ₹80 lakh, this subsidy is not for you - do not let a broker use it as bait. And a crucial rule from the guidelines: the subsidy is available only once per property and once per family; if you balance-transfer the loan before claiming it, you lose it.

How to claim it

- Register your demand on the unified PMAY-U web portal (linked from pmaymis.gov.in) - the application then routes to your lender (PLI).
- Take the loan from a participating lender (scheduled commercial banks, HFCs, cooperative banks, MFIs empanelled with a Central Nodal Agency such as NABARD/HUDCO).
- Submit the self-certified income declaration and Aadhaar-linked identification the scheme requires.
- Insist the sanction letter shows the subsidy reference; the lender deducts the subsidy from your principal when the government releases each instalment.

PART 6

Property Due Diligence Before You Pay a Token

The paper trail that decides whether you actually own what you paid for

Under-construction vs ready vs resale

	Under-construction	Ready / new	Resale
Price entry	Lower; GST applies	Highest	Negotiable
GST	5% (1% affordable) on construction value - never financed by the loan	None	None
Delivery risk	Builder delay risk - RERA helps but courts are slow	None	None
Loan disbursement	Construction-linked tranches + pre-EMI interest	One shot after registration	One shot after registration
Tax benefits timing	Interest accumulates; deduction starts only after completion/possession	From year one	From year one
Best for	Long horizon, strong RERA file	Immediate use	Value + established neighbourhoods

The single most common first-timer regret in under-construction deals is paying for **super built-up area** while living in carpet area - often 25-40% less. Under RERA, the quoted price must be on carpet area; insist on the RERA carpet in every document.

The five documents that decide everything

- **RERA registration:** any qualifying new project must be registered with the state RERA authority - verify the number, the declared carpet areas, possession date and the escrow account on the state portal (e.g. maharera.mahaonline.gov.in). No registration, no booking - whatever the broker says.
- **Title deed chain:** 30 years of mother deeds showing clean transfer from owner to owner. Your own advocate (never the builder's) should read the chain. Disputed or unclear title stops the loan even when your income is perfect.
- **Encumbrance certificate (EC):** from the sub-registrar's office, showing no mortgages, liens or court disputes on the property for the years you check.
- **Sanctioned plan and approvals:** building permission, layout and sanctioned plan must match what is being built. Deviation between plan and construction is how OCs get denied.
- **Occupancy / Completion Certificate (OC/CC):** for ready homes, the OC is the municipal authority certifying the building is legal to inhabit - banks are reluctant to lend on OC-less buildings, and you inherit the illegality.

The token-money rule

No token, booking amount or 'block your unit' fee before RERA, title and approvals check out - and every rupee you do pay must be against a written receipt referencing the unit and the agreement-to-sell timeline. Money leaves your account only when paper arrives.

The 15-question due diligence checklist

- ☐ Is the project RERA-registered, and do the portal's dates and areas match the brochure?
- ☐ Is the seller the registered owner on the title deed, and is the chain of 30 years clean?
- ☐ Does a fresh encumbrance certificate show zero mortgages and disputes?
- ☐ Is the layout and building plan sanctioned by the local authority, with no visible deviations?
- ☐ For a ready home: is the OC in place and the property tax paid up (see receipts)?
- ☐ Is the price quoted on RERA carpet area? What is the exact loading?
- ☐ What exactly is included - parking slot number, open/common areas, and club/maintenance corpus?
- ☐ Are society dues, electricity and water bills cleared by the seller till the handover date?
- ☐ Is the builder's escrow account (RERA-mandated 70% collection account) disclosed?
- ☐ What does the bank's approved-project list say about this project (banks pre-vet legal titles)?
- ☐ Are there pending litigation notices on the property or the builder (check the local court's cause lists if in doubt)?
- ☐ What is the realistic resale and rental value on the same street today (ask two brokers, not the seller's one)?
- ☐ Are water, sewage, power and lift systems handed to and accepted by the society?
- ☐ Is the agreement-to-sell going to record the payment schedule, delay penalties and refund terms?
- ☐ Have you personally visited at three different times of day - including once at night and once in rain if possible?

PART 7

Negotiating and the Agreement to Sell

Where lakhs are quietly won or lost - on clauses, not on the sticker price

Negotiate like a ready buyer

The best leverage you will ever have is being **pre-approved, informed and unhurried**. Builders in a slow market discount quietly: ask for a straightforward price cut first, then waived floor-rise or preferential-location charges, then free parking or stamp-duty sharing - in that order. In resale deals, sellers with an active loan appreciate a buyer whose bank moves fast. Get every agreed concession written into the agreement, not the WhatsApp thread.

The token and the paper around it

- Pay the token by cheque or bank transfer to the seller's verified account - never cash, never to the broker's account.
- Take a written token receipt stating the unit, the agreed price, the validity period and the refund conditions if the agreement falls through on the seller's side.
- Agree the refund path if your bank rejects the property's papers for reasons you could not have known - this single clause protects your token.
- Set a short fuse: the agreement-to-sell should follow within days, with a registration date both sides can meet.

What the agreement to sell must contain

- **Parties and property:** exact unit, carpet area per RERA, schedule of the property and the title description matching the deed.
- **Price and payment schedule:** every instalment tied to a milestone (registration, possession, construction stage) with dates.
- **Delay clause - both ways:** a builder who delays owes you interest; a buyer who delays faces defined penalties. One-sided clauses are a red flag worth walking away from.
- **Refund and cancellation terms.** If approvals fail, your money returns with defined interest, within defined days.
- **Inclusions:** parking slot number, corpus, fittings, and what happens to tax increases before registration.
- **Seller's dues cleared:** society dues, property tax and utility bills till handover, taken on record.

The advocate hour that pays for itself

An independent property lawyer typically charges a few thousand rupees to read the chain of title and the draft agreement - a rounding error against a ₹50 lakh purchase. Use one who is not referred by the seller or the builder.

PART 8

Registration Day and After

Stamp duty, the sub-registrar's office, and the paperwork of becoming an owner

Budget the government's share

Stamp duty runs roughly **5-7% of the property value in most states** (Maharashtra metro: 6% for a sole male buyer, 5% for a sole female buyer, plus 1% registration, with registration capped at ₹30,000 in Maharashtra). Several states charge women buyers a lower rate - in joint purchases, registering with the woman as (co-)owner can save a percent, which on a ₹50 lakh home is ₹50,000. Rates change and local caps differ: verify the exact current figure on your state's registration and stamps department site before you budget.

If the property costs more than ₹50 lakh, remember the buyer's TDS obligation: 1% of the consideration deducted at source and deposited against the seller's PAN (a Form 26QB requirement). Your CA or the bank's documentation desk can file it in minutes, but missing it creates a tax headache that outlives the purchase.

The registration folder

- ☐ Draft sale deed - reviewed against the agreement to sell; the bank usually helps prepare it for financed purchases.
- ☐ PAN and Aadhaar of every buyer and seller; recent passport-size photographs.
- ☐ Two witnesses with ID, present in person.
- ☐ Stamp duty and registration payment confirmation (most states now take it online via the state registration portal: SHCIL/e-stamping or the state's own system).
- ☐ Original title chain, EC and tax-paid receipts - the sub-registrar's office verifies against them.
- ☐ Bank's disbursement letter or demand draft in the seller's name, timed to the registration date.
- ☐ The exact consideration split agreed (cash components beyond small token adjustments are illegal and uninsured - refuse them).

After the keys: the paperwork of possession

- **Mutation:** apply within weeks to transfer the property into your name in municipal records (khata/patta/7/12 extract or city mutation register) - this is what proves you to the state, not just the deed.
- **Society/RWA transfer:** share certificate or membership transfer, and electricity/water meters moved to your name.
- **Original documents:** the bank holds the title deeds as mortgage security; keep certified copies and a full inventory of what was handed over.
- **Possession letter and handover checklist:** snag-list the flat with the builder in writing on day one.

PART 9

What a Home Loan Actually Saves You in Tax

The 2026-27 reality: most benefits live only in the old regime

The blunt headline

Since the new regime became the default (and from FY 2026-27 the Income-tax Act, 2025 governs the year), the classic home loan deductions are **old-regime only** for a self-occupied home. If you file under the new regime, your home loan saves you nothing in income tax - the only surviving benefit is interest deduction against rental income on a let-out property. Buy the home because you need the home; the tax tail no longer wags the dog.

Benefit	Old regime	New regime (default)
Interest on self-occupied home (s.24(b); now s.22(2)(a) under the 2025 Act)	Up to ₹2,00,000 / year	Not available
Principal repayment (s.80C; now s.123 / Schedule XV)	Up to ₹1,50,000 / year (shared with PPF, ELSS, EPF, insurance)	Not available
Stamp duty & registration (80C, purchase year only)	Up to the shared ₹1,50,000	Not available
Interest on let-out property	Deductible from rent; loss set-off capped at ₹2 lakh/year	Deductible only against rental income
80EE / 80EEA extra interest	Legacy windows only (loans sanctioned 2016-17 / 2019-2022) - new loans don't qualify	Not available

The co-borrower double

Spouses who are both co-owners and co-borrowers can each claim up to ₹2 lakh of interest and ₹1.5 lakh of principal (old regime) in their share - up to ₹4 lakh of interest per year for the household. The catch: you must both be on the property's ownership records and each actually service the EMI from your own accounts.

Which regime should you pick?

Compare total tax both ways each year - the new regime's lower slabs and ₹75,000 standard deduction beat the old regime for most taxpayers until total deductions (80C + 24(b) + HRA + 80D and the rest) cross roughly ₹4.5-5 lakh, especially in the 20-30% brackets. A large fresh home loan pushes you toward the old regime; an old loan deep into its tenure often tips back to new. Run both numbers every filing season - and treat this book as orientation, not tax advice.

Two traps worth real money

1) The ₹2 lakh interest deduction needs the construction/possession to complete within five years of the loan year - miss that and the cap collapses to ₹30,000 on old rules. 2) Interest paid during construction isn't lost, but it enters the ₹2 lakh cap in five equal instalments once you take possession - it does not stack on top of it.

PART 10

After the Loan: Pre-EMI, Prepayment and Balance Transfer

The twenty years after signing - where crores quietly hide

Pre-EMI and tranche disbursement (under-construction)

Banks disburse under-construction loans in construction-linked tranches, and until full disbursement you typically pay only interest on the amount released (pre-EMI). On ₹14 lakh released at 8.5%, that is about **₹9,916.67** a month. Pre-EMI is not wasted money exactly - it is interest on money already used - but it buys you no principal. The moment full disbursement happens, start EMIs, and consider prepaying the pre-EMI-era principal never accumulated: every prepayment now attacks a 20-year interest curve at its steepest point.

Prepayment: the single biggest lever you control

Two facts make prepayment powerful. First, RBI-mandated pricing means floating-rate home loans to individual borrowers carry **no foreclosure or prepayment charges** (SBI's own loan pages confirm 'no prepayment penalties'; fixed-rate loans may differ). Second, EMIs are interest-heavy early: on a 20-year 8.5% loan, roughly two-thirds of your first EMI is interest. Prepaying ₹1 lakh in year one kills interest that would have compounded for nineteen more years.

Worked on a ₹50 lakh, 20-year, 8.5% loan (EMI **₹43,391.16**, total interest **₹5,413,879**):

Paying one extra EMI every year clears the loan in about **16.8 years** instead of 20 - cutting total interest by roughly **₹1,692,255**. Prepaying a flat ₹1 lakh extra every year instead ends it in about **14.0 years** and saves about **₹3,124,164**. Even a modest annual prepayment beats every tax deduction in this book.

How to prepay smartly

Ask the bank to keep the EMI constant and reduce the tenure, not the EMI - that is where the compounding dies. Route salary bonuses and festival allowances here before they become lifestyle. If you invest in equity elsewhere, only skip prepayment when you confidently expect to beat your loan rate after tax and risk.

Balance transfer: math, not emotion

Transferring your loan to a cheaper lender makes sense when the rate gap is comfortably above 0.5% and the outstanding is large - the processing fee (often ~0.5%) plus legal and stamp charges on re-registration must be earned back within a few years. And note the PMAY trap from Part 5: transfer before claiming the subsidy and you lose it.

Closing the loan properly

- Collect the loan closure letter and the all-important No Objection Certificate (NOC) stating the loan is fully repaid.
- Get the bank to release the original title documents (and the memorandum of deposit of deed cancellation where applicable) - chase this; banks are slow and the papers are yours.
- Verify the bank removes the charge from CERSAI records and your credit report shows the loan as closed.
- Keep every EMI statement and the final closure letter for as long as you own the home - future buyers' lawyers will ask.

THE HALL OF PAIN

Ten expensive mistakes, and the fix

1. Shopping for flats before knowing the real budget

You fall in love above your ceiling and then stretch. Fix: affordability math and pre-approval first (Parts 1-4).

2. Budgeting only the down payment

Stamp duty, registration, brokerage, GST and society charges add 8-12% cash. Fix: the 28-32% planning rule.

3. Taking the bank's max sanction as the budget

The bank tests FOIR, not your life. Fix: your own 40-45% take-home EMI cap with a +1% rate stress test.

4. Choosing a 30-year tenure for the gentle EMI and never prepaying

Costs lakhs in extra interest. Fix: longest tenure for safety, prepay like it is 15 years.

5. Paying token money before checking RERA and title

Recovering money from a broken deal is years of courts. Fix: the Part 6 checklist before a rupee moves.

6. Buying super built-up marketing, living in carpet

Loading of 25-40% is normal. Fix: insist on RERA carpet area in every document.

7. Skipping the OC on a ready home

A home without occupancy certification is legally uninhabitable and hard to finance or resell. Fix: no OC, no deal.

8. Ignoring the old-vs-new regime question

Assuming the loan saves tax can cost you real money under the default new regime. Fix: run both computations (Part 9).

9. Buying credit-life insurance bundled at the loan table

It is frequently a commission product you did not choose. Fix: decline politely; buy term and property cover separately if you want them.

10. Not collecting the NOC and originals after the final EMI

A loan not closed on paper haunts your credit report and your next sale. Fix: the closure checklist in Part 10.

THE MASTER CHECKLISTS

Print these pages. Tick every line.

The six-month timeline

- ☐ Month 6 out: pull all four free credit reports; open disputes on errors; clear overdue items.
- ☐ Month 5: consolidate the down payment corpus; keep 28-32% of target price liquid and safe.
- ☐ Month 4: pre-approval from 2-3 lenders; compare full cost, not headline rates.
- ☐ Month 3: shortlist localities; verify RERA for candidate projects; engage your own advocate.
- ☐ Month 2: due diligence (title, EC, plan, OC); negotiate; sign the agreement to sell with milestones.
- ☐ Month 1: final sanction; stamp duty budget confirmed; registration date fixed; TDS arranged if above ₹50 lakh.
- ☐ Week 0: register, take possession, apply for mutation; start the EMI calendar and the first prepayment plan.

Documents: salaried applicants

- ☐ PAN, Aadhaar and passport-size photographs (all applicants)
- ☐ Last 3-6 months' salary slips
- ☐ Form 16 for the last 2 years (or 2-3 years of ITRs)
- ☐ Last 6 months' bank statements of the salary account (and of the account holding the down payment)
- ☐ Employment proof / offer letter if the job changed recently; existing loan statements if any
- ☐ Property papers: agreement to sell / allotment letter, title chain, EC, approved plan, RERA certificate, tax receipts

Documents: self-employed applicants

- ☐ PAN, Aadhaar, photographs; business address proof
- ☐ ITRs with computation for the last 2-3 years
- ☐ GST returns and registration; CA-certified financials (P&L, balance sheet) for 2-3 years
- ☐ 6-12 months of current account and key personal account statements
- ☐ Business continuity proof: licence, shop & establishment registration, client contracts
- ☐ Property papers as in the salaried list

Site-visit card (every property, every time)

- ☐ Water pressure at the top floor, morning and evening; power backup and DG costs
- ☐ Lift wait times, parking slot (numbered, in the agreement), visitor parking
- ☐ Noise: traffic at rush hour, and the nearest construction site's schedule
- ☐ Mobile coverage inside the flat; society's maintenance charge history for 3 years

- ☐ Distance (walk, not brochure): school, market, clinic, commute hub - in peak traffic, once
- ☐ Resale listings in the same building: what owners are actually asking today

GLOSSARY

The jargon, decoded

LTV — Loan-to-Value - the share of the property's value a bank may lend (RBI caps: 90/80/75% by loan slab).

FOIR — Fixed Obligation to Income Ratio - all your EMIs (including the proposed one) as a share of income; banks typically cap near 50-55%.

Repo rate — The RBI's policy rate at which it lends to banks - 5.25% as of September 2026; your floating rate is pegged above it.

Spread — The bank's margin over the repo rate (your rate = repo + spread). Same bank, different spreads, different customers.

Reset period — How often your floating rate re-aligns to the benchmark - at most quarterly for repo-linked retail loans.

Pre-EMI — Interest-only payment on the amount disbursed so far, before full disbursement of an under-construction loan.

EC — Encumbrance Certificate - sub-registrar's record of mortgages/charges on a property.

OC / CC — Occupancy Certificate / Completion Certificate - the municipal authority's proof the building is legal to occupy.

RERA — The Real Estate (Regulation & Development) Act, 2016 and its state authorities, under which qualifying projects must register.

Carpet area — The usable area within your walls - the only area RERA lets builders quote as the price basis.

Loading — The gap between super built-up and carpet area, often 25-40%.

MODT — Memorandum of Deposit of Title Deed - the registered instrument by which you mortgage the home to the bank.

Mutation — Recording you as the owner in municipal revenue records after registration.

TDS (26QB) — The 1% tax a buyer must deduct and deposit when buying property above ₹50 lakh.

CERSAI — The central registry of security interests - where your mortgage is recorded and, later, released.

NOC — No Objection Certificate - the bank's written confirmation that your loan stands closed.

PMAY-U 2.0 ISS — The interest subsidy scheme under PMAY Urban 2.0 - up to ₹1.80 lakh for qualifying affordable loans.

Balance transfer — Moving your outstanding home loan to another lender for a lower rate.

SOURCES & DISCLAIMER

Every number, checked at the source

All figures in this playbook were verified in September 2026 from the following official and primary sources. Where the source is a commercial lender's published rate card, the date of verification is noted; lender rates change with market conditions.

Reserve Bank of India - Monetary Policy & National Summary Data

Repo rate 5.25% (held since the December 2025 cut), September 2026. [rbi.org.in](https://www.rbi.org.in)

SBI - Home Loan Interest Rates (current), verified via sbi.bank.in

From 7.25% p.a. w.e.f. 01.04.2026; no prepayment penalties stated on SBI's home loan pages.

HDFC Bank - Home Loan Interest Rates

From 7.75% p.a. (benchmarked to Policy Repo Rate, +2.50% to 7.95%), September 2026.

ICICI Bank - Home Loan Interest Rates

Standard floating slabs from 8.50% p.a. by profile and loan size; fixed-rate options higher; processing fee 0.5% + taxes.

PMAY-U 2.0 - Interest Subsidy Scheme guidelines (pmaymis.gov.in) and PIB releases

Income ceilings ₹3/6/9 lakh; loan cap ₹25 lakh; house value cap ₹35 lakh; 4% subsidy on the first ₹8 lakh for tenures up to 12 years; maximum release ₹1.80 lakh in five yearly instalments; loans sanctioned on or after 01.09.2024.

RBI - directives to Credit Information Companies

One free full credit report (with score) per calendar year from each of the four bureaus.

RBI - housing finance regulations (Master Directions)

LTV ceilings of 90/80/75% by loan slab; floating-rate retail loans free of foreclosure charges.

Income-tax Act provisions - incometaxindia.gov.in (as amended by Finance Act, 2026)

Section 24(b)/80C limits and conditions; old vs new regime treatment; Income-tax Act, 2025 renumbering effective FY 2026-27; TDS on property purchases above ₹50 lakh.

Maharashtra stamp duty & registration framework (state registration department)

6% metro stamp duty (5% sole female buyer), 1% registration capped at ₹30,000 - used as the worked example; other states vary.

Disclaimer

This playbook is general financial education, not investment, legal or tax advice, and does not consider your personal circumstances. Interest rates, government schemes, stamp duty and tax rules change; verify current figures with the lender, state authority or a qualified professional before acting. The publisher takes no liability for decisions taken on the basis of this book.

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